THE
ANNOUNCEMENT ROOM
WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

DXN LIMITED (ASX: DXN) BINDING CONTRACT, ANNOUNCED 11 NOVEMBER 2026. ALL FIGURES IN A$ UNLESS STATED.

A fourth order from the same global customer, while the AI HPC cancellation is still being settled

DXN has signed a binding contract worth about A$4.8 million (about US$3.4 million) to design, supply and commission a modular Cable Landing Station (CLS) for a global internet company. It is the fourth order from that same customer. The module will be built in Malaysia and Western Australia and delivered to a Pacific site under US jurisdiction in Q1 FY28.

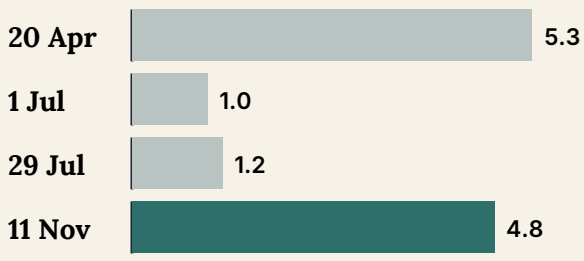
A$4.8M
Contract value
about US$3.4M, binding

4th
Order, same customer
repeat business

Q1 FY28
Delivery to site
Jul to Sep 2027

~48%
Of FY26 revenue
A$4.8M vs A$10.1M (calculated)

CLS CONTRACTS ANNOUNCED IN 2026, A$ MILLION



Values taken from announcement titles (20 Apr, 1 Jul, 29 Jul and 11 Nov 2026). The customers across these contracts are not necessarily the same. Today's award is the second largest of the four.

WHAT THE CONTRACT COVERS

A complete turnkey CLS: design, engineering, manufacture, factory acceptance testing and commissioning. DXN's prefabricated modules integrate power, cooling, fire suppression, security and monitoring. Manufacturing starts immediately.

DXN says engineering has been standardised for this customer, which it expects to save time and cost across design, manufacturing, supply chain and delivery.

The customer is not named. DXN says its identity is not information a reasonable person would expect to move the share price, and that the announcement contains all material information.

WHAT THE ANNOUNCEMENT DOES NOT SAY NOT DISCLOSED

Payment milestones, when revenue will be recognised, the margin on the job, and any conditions or termination terms. Delivery is in Q1 FY28, but DXN has not said how revenue will be spread before then. The full A$4.8M should not be read as revenue in any one period.

HOW IT COMPARES (CALCULATED)

Against Q1 FY27 revenue of about A$3.4M, the contract is about 1.4 times a full quarter of sales. Against the A$30.8M backlog at 30 September 2026, it equals about 16%. It was signed after that date, so it is not in the A$30.8M.

WHAT DXN DOES

DXN designs, engineers, manufactures, maintains and operates prefabricated modular data centres in Asia Pacific. Its Modular division serves telecom, mining, defence and subsea cable customers, alongside Data Centre Operations (Darwin) and Data Centre as a Service.

Sources: DXN Limited, "A$4.8m Cable Landing Station Contract" (ASX, 11 Nov 2026); Quarterly Activities Report and Appendix 4C, quarter to 30 Sep 2026 (ASX, 30 Oct 2026); "DXN set for FY27 with record backlog and rising AI demand" (ASX, 31 Aug 2026); CLS contract announcements of 20 Apr, 1 Jul and 29 Jul 2026 (values from titles). Calculations: 4.8 / 10.1 = 47.5%, shown as about 48%; 4.8 / 3.4 = 1.4x; 4.8 / 30.8 = 15.6%, shown as about 16%. Share price data is not used. General information only. Not financial advice.

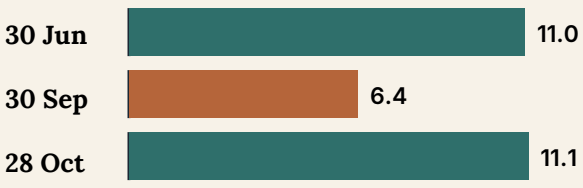
A useful win, but the balance sheet and the AI HPC settlement set the tone

WHY THE WIN MATTERS

DXN says repeat orders reflect the customer's confidence in its delivery, and a fourth order suggests the CLS product is repeatable. A standardised design can help margins on later orders, though DXN has not disclosed margins.

Timing is the catch. Delivery is in Q1 FY28, so the contract does not help DXN's stated target of A$11.0M of revenue in 1H FY27 (1H FY26: A$2.7M).

CASH AT PERIOD END, A$ MILLION



Operating cash flow in Q1 FY27 was -A$4.7M. DXN says it would have been +A$2.2M if delayed customer receipts had arrived on schedule, and cash recovered to A$11.1M by 28 October once they did.

THE AI HPC CANCELLATION, IN NUMBERS

COMPANY EXPECTATION



The maiden customer told DXN it intends to cancel the A$8.8M AI HPC contract. DXN expects about A$4.2M (48%) for work done and costs committed, mostly recognised in Q2 FY27, including a final A$1.1M payment. About A$8.6M came out of backlog and a larger follow-on campus is unlikely. On 5 November DXN said a termination agreement was still being negotiated.

FUNDING POSITION (APPENDIX 4C)

Cash was A$6.4M at 30 September. The 4C shows 1.35 quarters of funding at the quarter's burn (6.4 / 4.7, calculated) and a fully drawn A$7.0M secured loan at 9.7% a year, maturing November 2027.

CONTEXT FROM THE LAST FORTNIGHT

After the 30 October update, ASX asked DXN about the timing of the disclosure. ASX noted the price moved from $0.255 at the 29 October close to a low of $0.115. DXN replied on 5 November, said it was in compliance with the Listing Rules, and pointed to weak sentiment in AI related stocks. This release adds good news to a story where the main swing factors are the settlement terms and cash conversion.

WHAT MANAGEMENT EXPECTS

EXPECTATION, NOT RESULT

Revenue of A$11.0M in 1H FY27, helped by the temporary Seven Hills (NSW) factory starting in Q2 FY27. Production at the Johor, Malaysia site is targeted for Q2 FY27. The Malaysia, southern NSW and Jakarta JV sites are targeted to be fully operational by the end of Q3 FY27. Pipeline: 93 projects, 28% AI related.

WHAT TO WATCH

Termination terms
Is the AI HPC settlement signed, and does it match the A$4.2M expected?

Cash conversion
Q2 FY27 receipts and operating cash flow in the next Appendix 4C.

Manufacturing ramp
Seven Hills and Malaysia starting production on time.

CLS margins
Any disclosure of returns on repeat standardised orders.

TAR TAKE (OUR INTERPRETATION)

The order is positive evidence that DXN wins repeat business in its core CLS niche, and the standardised design should help execution. But it is modest next to the A$30.8M backlog at 30 September, delivers in FY28, and says nothing about margin or payment timing. The nearer-term test is whether the AI HPC termination settles near A$4.2M and whether cash holds up as the factories scale.

Sources: DXN Limited, "A$4.8m Cable Landing Station Contract" (ASX, 11 Nov 2026); Quarterly Activities Report and Appendix 4C (ASX, 30 Oct 2026; items 1.9, 4.6, 7 and 8); Response to ASX Aware Query, including ASX letter of 30 Oct (ASX, 5 Nov 2026); FY26 results announcement (ASX, 31 Aug 2026). Calculations: 6.361 / 4.711 = 1.35 quarters; 4.2 / 8.8 = 48%. Share price data for 11 Nov is not used. Targets and expectations are management statements, not results. General information only. Not financial advice.